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NVIDIA Corp Earnings Call [View on the Bloomberg Terminal](#)

11/19/25

Guidance

- Q4 FY2026 revenue is expected to be \$65 billion $\pm 2\%$, representing 14% sequential growth driven by Blackwell architecture momentum
- Q4 gross margins are projected at: - GAAP: 74.8% ± 50 bps - Non-GAAP: 75% ± 50 bps
- For FY2027: - Company aims to maintain gross margins in mid-70s despite rising input costs - Operating expenses expected at \$6.7B GAAP and \$5B non-GAAP - Other income projected at \$500M - Tax rate expected at 17% $\pm 1\%$
- No data center compute revenue from China is assumed in the guidance

Margin Story

- Q3 GAAP gross margins were 73.4% and non-GAAP gross margins were 73.6%, exceeding expectations
- Q4 guidance expects GAAP and non-GAAP gross margins of 74.8% and 75% respectively
- For FY2027, management aims to maintain gross margins in the mid-70s despite rising input costs
- Q3 margin improvements were driven by data center mix, improved cycle time, and cost structure
- Management plans to offset input cost pressures through cost improvements, cycle time optimization, and mix management

AI Strategy

- NVIDIA sees three major platform shifts occurring simultaneously: transition from CPU to GPU accelerated computing, transformation of existing applications through generative AI, and emergence of agentic AI systems capable of reasoning and planning
- The company has visibility to \$500 billion in Blackwell and Rubin revenue through end of 2026, with potential for more as new partnerships form
- NVIDIA's GPUs are fully utilized across generations (Blackwell, Hopper, Ampere) with demand exceeding supply
- Major AI model builders like OpenAI and Anthropic are seeing rapid growth, with OpenAI reaching 800M weekly users and Anthropic's revenue growing from \$1B to \$7B annualized run rate
- NVIDIA's architecture uniquely supports all phases of AI (pre-training, post-training, inference) and all types of AI models
- The company sees three key AI scaling laws driving compute demand: pre-training, post-training, and inference

Cloud Strategy

- Cloud infrastructure is currently sold out and fully utilized

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- Major cloud providers are deploying NVIDIA's technology, including AWS's recent expansion to deploy up to 150,000 AI accelerators
- NVIDIA's technology is being adopted across all major cloud platforms for AI inference
- Cloud Service Providers (CSPs) and hyperscalers are expected to significantly increase their capital expenditure in 2026
- NVIDIA's architecture is available across all cloud platforms, making it accessible to developers everywhere

Orders

- NVIDIA has visibility to \$500 billion in Blackwell and Rubin revenue through end of 2026, with potential for additional orders beyond this
- Demand continues to exceed supply, with all GPUs (including Blackwell, Hopper and Ampere) being fully utilized
- The company has secured supply chain commitments, with inventory growing 32% quarter-over-quarter and supply commitments increasing 63% sequentially
- NVIDIA plans and negotiates with suppliers well in advance to secure supply

Inventory

- Inventory grew 32% quarter-over-quarter while supply commitments increased 63% sequentially, with management indicating they are preparing for significant future growth
- Gaming channel inventories are at normal levels as the holiday season approaches
- The company plans and negotiates with their supply chain well in advance to secure requirements and demand

Competition

- NVIDIA's architecture has proven superior to competitors, with increasing customer adoption and platforms choosing NVIDIA after exploring alternatives
- NVIDIA demonstrated clear performance leadership in benchmarks, with Blackwell delivering 5x faster training than Hopper and sweeping every benchmark category
- The company maintains a significant multi-year lead in inference performance, with GB200/GB300 achieving 10-15x higher performance than competitors
- NVIDIA differentiates itself by being the only platform that can run every major AI model and being present in every cloud environment

Market Share

- NVIDIA has become the largest networking business in the world for AI infrastructure
- NVIDIA's architecture is the only one that runs all major AI models across different platforms
- For AI training benchmarks, NVIDIA achieved complete dominance

Capital Allocation

- Buybacks: • NVIDIA plans to continue doing stock buybacks
- Capex: • Analysts expect top CSPs and hyperscalers to have aggregate CapEx of approximately \$600 billion in 2026, which is over \$200 billion higher than expectations at the start of the year

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M&A

- NVIDIA is making strategic investments in AI companies including Anthropic, Mistral, OpenAI, Reflection, and Thinking Machines to expand their CUDA ecosystem
- Rather than giving up equity in NVIDIA, they receive shares in the companies they invest in, as exemplified in the OpenAI partnership
- The investment strategy focuses on partnering technically with leading companies while getting stakes in what they view as "once-in-a-generation" companies

Labor

- Operating expenses increased partly due to higher compensation and benefits costs
- The company continues to invest in engineering teams for innovation

Macro Environment

- Input costs are rising, though NVIDIA is working to maintain gross margins in the mid-70s through cost improvements, cycle time optimization and mix management
- Jensen Huang directly addressed concerns about an "AI bubble" by arguing that NVIDIA sees fundamental platform shifts occurring rather than speculative behavior

Supply Chain

- NVIDIA has established a comprehensive global supply chain network including partnerships with TSMC, Foxconn, Wistron, Amkor, and SPIL
- The company's strong balance sheet and credibility allows them to secure reliable supply chain commitments
- Inventory grew 32% quarter-over-quarter while supply commitments increased 63% sequentially as they prepare for future growth
- NVIDIA plans and negotiates with suppliers well in advance, having secured significant supply and worked out financial arrangements

Pricing

- The company is working to maintain gross margins in the mid-70s for fiscal year 2027 despite rising input costs
- NVIDIA negotiates and plans pricing with their supply chain well in advance, which helps them secure favorable terms

Product Development

- The Rubin platform is on track to launch in H2 2026, featuring seven chips and promising significant performance improvements over Blackwell. Initial silicon has been received and bring-up is progressing well.
- The GB300 (Blackwell) has successfully ramped and now represents about two-thirds of total Blackwell revenue, with seamless transition to major customers.
- NVIDIA recently introduced Spectrum-XGS for large-scale AI deployments.
- The company is developing CPX, a new product specifically designed for long-context workloads.

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